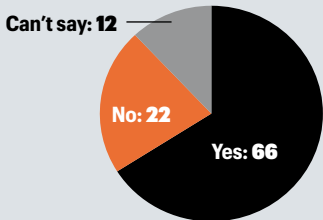
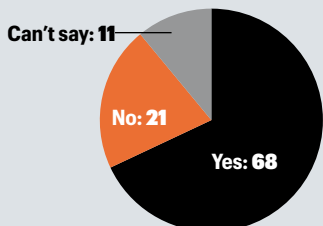


Mixed Feelings

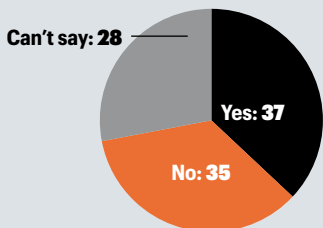
Has the good monsoon helped to improve rural demand in the festive season?



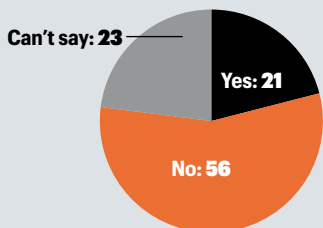
Are you worried about the escalating tensions in the Middle East and the impact on your business?



Do you expect the RBI to cut rates in the December policy meeting?



Are you planning to hire more workers for the festive season?



Source The BT-C Fore Business Confidence Survey was conducted between October 5 and October 29, 2024, of 500 CEOs or CFOs representing various industries and company sizes across 12 cities—Delhi, Mumbai, Chennai, Hyderabad, Bengaluru, Kolkata, Chandigarh, Lucknow, Nagpur, Kochi, Visakhapatnam and Bhubaneswar

the combined output of India's manufacturing and services sectors, rose to a three-month high of 59.5 in November from a final reading of 59.1 in October. The flash data gives an early indicator of the ongoing month and is calculated from around 80-90% of responses. The final data will be available at the start of the next month.

But beyond the headline numbers, there are pockets of worry. Urban consumption is seen to be moderating as income growth remains weak and inflationary pressures continue to hit households. The finance ministry's monthly economic review for October however said that "India quietly holds its ground" amidst external uncertainties. After a brief moderation over the monsoon months, economic activity firmed up in October, it said, adding demand continues to grow steadily as seen by various high frequency indicators. However, RBI surveys paint a more cautious picture of urban consumers' perceptions of employment conditions and manufacturers' hiring sentiments, it cautioned. Earlier in September, it had highlighted a slowdown in urban demand.

Shreya Sodhani, Regional Economist at banking major Barclays, highlighted in a recent note that while there may be some improvement in demand quarter on quarter during because of the festive season, slowing urban demand, weakness in exports, and a sluggish pace of capex will likely weigh on growth in the second half of the fiscal. The agency has lowered its gross domestic product (GDP) growth forecast for the current fiscal to 6.8% from the earlier 7%.

Aditi Nayar, Chief Economist and Head of Research and Outreach at ratings firm ICRA says the agency expects GDP growth to pick up above the 7% mark in the second half of FY25, aided by tailwinds owing to an improvement in rural demand and acceleration in government capex. "Overall, we expect India's GDP to grow by 7% in FY25," she says.

Urban consumer confidence, which had declined in the May and July 2024 rounds of the Reserve Bank of India's survey, has recorded an uptick in the latest round, she notes, but points out that it remains below its peak. "In our view, the dip seen earlier this year reflected the impact of the slowdown in government capex and weak retail footfalls on the income of some households. During the festive season, urban demand is likely to have remained uneven, with some cohorts more restrained on account of volatile inflation," Nayar says.

This uneven confidence is also evident amongst businesses. While the business confidence for light and heavy industries is high at 58.5 and 57.8, respectively, that for services, which includes export-oriented sectors such as IT, software, and BPO, is more muted at 53.9.

Similarly, in terms of industry size, big and medium industries remained the most confident with a BCI reading of 60.5 and 59.8, respectively, for the September 2024 quarter. But challenges abound for small and micro industries, and their business confidence remained low at 53.9 and 52.5, respectively.

The confidence in economic conditions, including demand and profitability, remains high